

Table A: Personal allowances and deductions

Year of assessment	2020/21	2021/22
Personal allowances	HK\$	HK\$
Basic	132,000	132,000
Married person's	264,000	264,000
Single parent	132,000	132,000
Child		
1 st to 9 th child (each)	120,000	120,000
Additional allowance in the year of birth (each)	120,000	120,000
Dependent parent/ grandparent (aged 60 or above or is eligible to claim an allowance under the Government's Disability Allowance Scheme)		
Basic	50,000	50,000
Additional (for dependant residing with taxpayer continuously throughout the whole year)	50,000	50,000
Dependent parent/ grandparent (aged 55 – 59)		
Basic	25,000	25,000
Additional (for dependant residing with taxpayer continuously throughout the whole year)	25,000	25,000
Dependent brother/ sister	37,500	37,500
Personal disability	75,000	75,000
Disabled dependant	75,000	75,000
Deductions/ Concessionary deductions	HK\$	HK\$
Self-education expenses	100,000	100,000
Home loan interest	100,000	100,000
Elderly residential care expenses	100,000	100,000
Contributions to recognised retirement schemes	18,000	18,000
Qualifying premiums paid under voluntary health insurance scheme policy	8,000	8,000
Qualifying annuity premiums & tax deductible MPF voluntary contributions	60,000	60,000
Approved charitable donations	35%	35%
Depreciation allowances (For all years of assessment in this paper)		
Plant and machinery: Initial allowance ("I.A.")	60%	
Annual allowance ("A.A.")	Given in question	
Industrial building: I.A.	20%	
A.A.	4%	
Commercial building: A.A.	4%	

Table B: Tax rates

Year of assessment			
2020/21*		2021/22*	
Tax rates	%	Tax rates	%
Standard	15.0	Standard	15.0
Progressive		Progressive	
HK\$1 – HK\$50,000	2.0	HK\$1 – HK\$50,000	2.0
HK\$50,001 – HK\$100,000	6.0	HK\$50,001 – HK\$100,000	6.0
HK\$100,001 – HK\$150,000	10.0	HK\$100,001 – HK\$150,000	10.0
HK\$150,001 – HK\$200,000	14.0	HK\$150,001 – HK\$200,000	14.0
Above HK\$200,000	17.0	Above HK\$200,000	17.0
Two-tiered profits tax rates		Two-tiered profits tax rates	
First HK\$2 million assessable profits		First HK\$2 million assessable profits	
Unincorporated businesses	7.5	Unincorporated businesses	7.5
Corporations	8.25	Corporations	8.25
Over HK\$2 million assessable profits		Over HK\$2 million assessable profits	
Unincorporated businesses	15.0	Unincorporated businesses	15.0
Corporations	16.5	Corporations	16.5

*100% of the final tax payable under profits tax, salaries tax and tax under personal assessment would be waived, subject to a ceiling of HK\$10,000 per case.

Table C: Stamp duty rates

Conveyance and Agreement for sale		
Ad Valorem Duty (marginal reliefs ignored)	Scale 1	Scale 2
Not exceeding HK\$2,000,000	1.5%	HK\$100
HK\$2,000,001 to HK\$3,000,000	3%	1.5%
HK\$3,000,001 to HK\$4,000,000	4.5%	2.25%
HK\$4,000,001 to HK\$6,000,000	6%	3%
HK\$6,000,001 to HK\$20,000,000	7.5%	3.75%
Exceeding HK\$20,000,000	8.5%	4.25%
From 5 November 2016		
For residential property		15%
(unless specifically exempted or provided otherwise)		
Special Stamp Duty		
Holding period		
Not exceeding 6 months		20%
More than 6 months but equal to or less than 12 months		15%
More than 12 months but equal to or less than 36 months		10%
Buyer's Stamp Duty		15%
Lease		
Rent only:		
Not exceeding 1 year		0.25%
Not exceeding 3 years		0.5%
Exceeding 3 years		1%
Premium and rent:		
Premium part		4.25%
Rent part	same as rent only lease	
Hong Kong Stock Transfer		
Contract notes	0.2% (Before 1 August 2021)	
	0.26% (With effect from 1 August 2021)	
Instrument of transfer		HK\$5

Table D: Abbreviation

CIR	Commissioner of Inland Revenue
DIPN	Departmental Interpretation and Practice Notes
IRD	Inland Revenue Department
IRO	Inland Revenue Ordinance

SECTION B – WRITTEN QUESTIONS (Total: 80 marks)

Answer **ALL** questions in this section. Marks are indicated at the end of each question. Together they are worth 80% of the total marks for this examination.

Question 1 (26 marks – approximately 48 minutes)

Circle Limited ("the Company") is incorporated and carries on manufacturing business of metal products in Hong Kong. All its manufacturing profits are sourced in Hong Kong. Patrick and Susan are the directors of the Company. Patrick and Susan are husband and wife. The Company does not have any connected entities in Hong Kong. It prepares its accounts to 30 November each year. During the year ended 30 November 2021, its income statement shows the following:

	HK\$	HK\$
Gross Profit		22,284,000
Profit on sale of fixed assets		22,000
Rental income from Property A (Note 1)		90,000
Interest received (Note 2)		<u>60,000</u>
		22,456,000
Less: Auditor's fees	80,000	
Directors' remuneration (Note 3)	1,500,000	
Salaries and allowances	10,800,000	
Contributions to MPF schemes (Note 4)	1,750,000	
Rent and rates (Note 5)	403,000	
Interest (Note 6)	420,000	
Bad debts (Note 7)	320,000	
Research and development expenditure (Note 8)	1,800,000	
Legal and professional fees (Note 9)	240,000	
Donations (Note 10)	600,000	
Depreciation	330,000	
Sundry expenses (all allowable)	<u>400,000</u>	<u>(18,643,000)</u>
Net profit for the year		<u><u>3,813,000</u></u>

Notes:

- (1) Property A is a residential property located in North Point. During the year, the property was only let out from 1 September 2021 to 30 November 2021.
- (2)
- | | |
|--|---------------|
| Interest received on loan to a supplier in Hong Kong | 40,000 |
| Bank interest received on US\$ fixed deposit with Hong Kong Bank | <u>20,000</u> |
| | <u>60,000</u> |
- (3)
- | | |
|---------|------------------|
| Patrick | 900,000 |
| Susan | <u>600,000</u> |
| | <u>1,500,000</u> |

(4)	Special contributions to MPF scheme	500,000
	Annual contributions in respect of:	
	Patrick (20% on remuneration)	180,000
	Susan (15% on remuneration)	90,000
	Other employees (10% on remuneration)	<u>980,000</u>
		<u>1,750,000</u>
(5)	Rent for directors' accommodation	360,000
	Rates for directors' accommodation	9,000
	Rates for own factory	18,000
	Rates for Property A	<u>16,000</u>
		<u>403,000</u>
(6)	Mortgage loan interest on Property A	120,000
	Mortgage loan interest on own factory	<u>300,000</u>
		<u>420,000</u>
	The loans were secured by Property A and its own factory.	
(7)	Trade debts written off	270,000
	Loan to ex-employee written off	<u>50,000</u>
		<u>320,000</u>
(8)	A research and development expenditure was incurred for its business. It was accepted that the expenditure is classified as Type B expenditure being a qualifying expenditure for its in-house qualifying research and development activities.	
(9)	Secretarial and tax filing services fees	40,000
	Professional fee for handling tax investigation	<u>200,000</u>
		<u>240,000</u>

(10) Cash donations to approved charitable organisations.

Other information:

(11) The tax written down values of plant and machinery brought forward from the year of assessment 2020/21 were:

20% pool: HK\$18,000

30% pool: HK\$42,000

(12) The Company purchased the following plant and machinery during the year:

Furniture (A.A. 20%): HK\$180,000

Machineries (A.A. 30%): HK\$500,000

Motor vehicles (A.A. 30%): HK\$600,000

- (13) The Company received the following proceeds from the disposal of the following plant and machinery during the year:

Furniture (A.A.20%) HK\$12,000 (Original cost: HK\$100,000)

Machineries (A.A. 30%) HK\$130,000 (Original cost: HK\$480,000)

Motor vehicles (A.A. 30%) HK\$220,000 (Original cost: HK\$200,000)

- (14) The machineries mentioned in items (12) and (13) were used by the Company directly for the manufacturing of its metal products.
- (15) The Company purchased Property A on 1 April 2011 for HK\$9 million. It was accepted that 1/3 of which was attributable to the cost of construction for commercial building allowance purpose.
- (16) During the year ended 30 November 2021, the Company incurred refurbishment expenditure of HK\$500,000 on Property A (Note 1).
- (17) The Company carries on manufacturing business in its own factory. The factory was purchased in July 2007 for HK\$18 million. It was accepted that the qualifying expenditure (construction cost) for Industrial Building Allowance purpose was HK\$9 million. The residual value of the factory brought forward from the year of assessment 2020/21 was HK\$2,160,000. The Company's office occupied about 5% of the total area of the factory.
- (18) During the year ended 30 November 2021, the Company constructed a new loft in the factory for the use of its production department for HK\$800,000.

Required:

- (a) **Compute the amount of depreciation allowances of plant and machinery available to Circle Limited for the year of assessment 2021/22.**
(4 marks)
- (b) **Compute the amount of industrial building allowance available to Circle Limited for the year of assessment 2021/22.**
(4 marks)
- (c) **Compute the profits tax liability of Circle Limited for the year of assessment 2021/22. Ignore provisional profits tax.**
(12 marks)
- (d) **Explain the profits tax treatment in respect of the following items:**
- (i) **Interest received on loan to a supplier (Note 2); and**
(3 marks)
- (ii) **Loan to ex-employee written off (Note 7).**
(3 marks)

Question 2 (18 marks – approximately 32 minutes)

Paul was employed by K Limited in Country K for many years. He had to perform duties in Country K and Asia, including Hong Kong. It was accepted that his employment with K Limited was located outside Hong Kong. There is no tax treaty signed between Hong Kong and Country K. On 1 August 2020, Paul was granted an unconditional share option ("Option A") to purchase 50,000 shares in K Limited at a price of HK\$5 each within two years. During the year ended 31 March 2021, Paul visited Hong Kong for 200 days for the performance of duties.

Starting from 1 April 2021, Paul was seconded to work with K (HK) Limited as General Manager for two years. K (HK) Limited is the wholly owned subsidiary of K Limited and is incorporated and carrying on business in Hong Kong. During the period of secondment, he reported to the Board of Directors of K (HK) Limited and his name card showed that he was the general manager of K (HK) Limited. His salary was paid by K (HK) Limited in Hong Kong.

You have been supplied with the following information regarding Paul's employment for the year of assessment 2021/22:

- (1) Salary from K (HK) Limited: HK\$1,600,000.
- (2) On 1 May 2021, Paul received bonus of HK\$183,000 from K Limited. The bonus was based on K Limited's profits for the year ended 31 March 2021.
- (3) K (HK) Limited leased a flat in Hong Kong at a monthly rent of HK\$30,000 for Paul's residence.
- (4) K (HK) Limited leased a car from a car rental company at a monthly rent of HK\$10,000 (annual rent: HK\$120,000) for Paul's use. 80% of the car's usage was for business.
- (5) On 1 June 2021, Paul exercised Option A to purchase the shares in K Limited.
- (6) On 1 August 2021, K (HK) Limited unconditionally granted Paul a share option ("Option B") to purchase 20,000 shares in K Limited at a price of HK\$6 each. On 1 October 2021, Paul exercised the option to purchase the 20,000 shares.
- (7) The market prices per share of K Limited on the following dates were:

1 August 2020	HK\$18.00
1 June 2021	HK\$15.00
1 August 2021	HK\$17.00
1 October 2021	HK\$14.00
31 March 2022	HK\$12.00
- (8) On 15 September 2021, Paul took a five-day vacation leave with his wife to Japan. K (HK) Limited paid HK\$60,000 (including the cost of the air tickets at HK\$12,000 each) to a travel agency to arrange their entire trip to Japan. Paul personally spent further HK\$20,000 for the trip.

Other information:

- (9) Paul contributed HK\$18,000 to an MPF scheme.
- (10) Paul and his wife had made approved charitable donations of HK\$80,000 and HK\$20,000 respectively.
- (11) Paul's wife is a housewife and has no income chargeable to salaries tax. They have a son aged 8 and is living and studying in Country K.

Required:

- (a) **Analyse, with reference to DIPN 10, whether Paul's employment with K (HK) Limited is located in Hong Kong.**
(4 marks)
- (b) **Assuming Paul's employment with K (HK) Limited is located in Hong Kong, calculate:**
 - (i) **the share option gains chargeable to salaries tax for the year of assessment 2021/22; and**
(4 marks)
 - (ii) **his salaries tax liability for the year of assessment 2021/22. Ignore provisional salaries tax.**
(6 marks)
- (c) **Explain, with reference to the relevant provisions under the IRO, your treatment for the following items:**
 - (i) **Bonus from K Limited (Note 2); and**
(2 marks)
 - (ii) **Provision of car for Paul's usage (Note 4).**
(2 marks)

Question 3 (9 marks – approximately 16 minutes)

John is a resident of Country B. He owns 100% of the issued shares in B Limited and is the sole director of B Limited. B Limited is incorporated in Country B. John declared in the profits tax return of B Limited that there was no profit chargeable to Hong Kong profits tax, thinking that non-Hong Kong residents are not subject to Hong Kong profits tax. Subsequently, the IRD raised a profits tax assessment on B Limited. On 20 October 2021, B Limited received a notice of assessment to additional tax under s.82A issued on 18 October 2021, being monetary penalty for filing of incorrect return.

Assuming today is 27 October 2021. John approaches you for advice.

Required:

- (a) Explain, with reference to the relevant provisions of the IRO, the circumstances under which a person is chargeable to Hong Kong profits tax.
(3 marks)
- (b) Describe the requirements of a valid appeal against an assessment to additional tax under s.82A of the IRO.
(5 marks)
- (c) Identify the deadline if B Limited wants to lodge an appeal against the assessment to additional tax under s.82A of the IRO.
(1 mark)

Question 4 (9 marks – approximately 16 minutes)

East Limited owns 90% of the issued shares in West Limited. West Limited owns 90% of the issued shares in North Limited. North Limited owns 100% of the issued shares in South Limited. East Limited, West Limited, North Limited and South Limited are companies incorporated in Hong Kong.

East Limited owns an office property in Hong Kong and the purchase cost was HK\$10 million. East Limited purchased the office property on 1 May 2019. On 1 July 2021, East Limited executed an agreement of sale and purchase to sell the office property in Hong Kong to North Limited for a consideration of HK\$15 million. North Limited did not own any property in Hong Kong at the time of acquisition.

On 15 August 2021, North Limited executed an agreement to lease the office property to South Limited for a period of 4 years starting from 1 September 2021 under the following terms:

- (1) Lump sum premium: HK\$400,000 payable on 1 September 2021.
- (2) Monthly rent: HK\$30,000.

All the relevant documents of the above transactions were executed in Hong Kong.

Required:

Analyse, with reference to the relevant provisions under the Stamp Duty Ordinance,

- (a) whether ad valorem stamp duty, special stamp duty and buyer's stamp duty are payable on the agreement of sale and purchase of the office property between East Limited and North Limited, and if so, compute the respective amounts payable; and**
(6 marks)
- (b) whether ad valorem stamp duty is payable on the lease agreement between North Limited and South Limited, and if so, the amount payable.**
(3 marks)

Question 5 (9 marks – approximately 16 minutes)

Bruce and Betty are husband and wife and they are ordinarily residents in Hong Kong. They own a residential flat in Hong Kong with ownership ratio of 2:1. The flat has been let to Daniel at a monthly rent of HK\$20,000 since January 2001. Rates are payable by the landlord. During the year ended 31 March 2022, Bruce and Betty paid the following in relation to the residential flat:

- | | |
|--|------------|
| (1) Rates (after rates concession). | HK\$4,800 |
| (2) Mortgage loan interest for the purchase of the residential flat to Hang Seng Bank. | HK\$60,000 |

Betty is a housewife and has no other income. Bruce has the following income and expenses for the year of assessment 2021/22:

- | | |
|---|---------------|
| (3) Profits from his sole-proprietorship business in Hong Kong (before deduction of any approved charitable donations). | HK\$600,000 |
| (4) Share of losses from a partnership business in Hong Kong. | (HK\$200,000) |
| (5) Cash donations to approved charitable organisations in Hong Kong. | HK\$320,000 |
| (6) Home loan interest. | HK\$120,000 |

Other information:

- (7) Only Bruce elects for personal assessment for the year of assessment 2021/22.
- (8) Bruce's donations were claimed under his sole-proprietorship business.

Required:

- (a) State the time limit for the election for personal assessment as provided under the IRO.
(2 marks)
- (b) Compute the amount of property tax payable in respect of Betty's share of the residential flat for the year of assessment 2021/22. Ignore provisional property tax.
(3 marks)
- (c) Compute Bruce's net chargeable income under personal assessment for the year of assessment 2021/22.
(4 marks)

Question 6 (9 marks – approximately 16 minutes)

Albert, Bernard and C Limited are carrying on a partnership business in the name of ABC & Co ("the partnership") in Hong Kong for many years, sharing profits and losses in the ratio of 1:1:2. Bernard remained in the partnership up to 31 March 2022. Starting from 1 April 2022, Albert and C Limited shared the profits and losses equally. Its accounts are made up to 31 March each year. The profits tax computation of the partnership for the year of assessment 2021/22 showed an assessable profit of HK\$480,000, after adding back the following items:

- (1) Partners' salaries:
Albert: HK\$360,000
Bernard: HK\$240,000
- (2) Interest on capital:
Albert: HK\$120,000
Bernard: HK\$160,000
C Limited: HK\$300,000

Other information:

- (3) The partners had no other connected businesses in Hong Kong.
- (4) The partners had the following losses brought forward from the year of assessment 2020/21:

Albert: (HK\$100,000)
Bernard: (HK\$300,000)
C Limited: (HK\$90,000)
- (5) No individual partner elected for personal assessment for the year of assessment 2021/22.

Required:

Compute the profits tax liability of ABC & Co for the year of assessment 2021/22, showing your treatment of the partners' losses brought forward from the year of assessment 2020/21 and the partners' losses carried forward, if any.

(9 marks)

* * * END OF EXAMINATION PAPER * * *